I made up for lost time during infrequent leaves, when I'd rush home to buy the various hot stocks that friends and colleagues recommended. They were buying high-flying issues that kept going up, but for me they suggested conservative issues that kept going down. Actually I made some money in Ranger Oil, but I lost more in Maine Sugar, a sure-win situation that flopped.

The Maine Sugar people had gone around to all the Maine potato farmers to convince them to grow sugar beets in the off-season. This was going to be extremely profitable for Maine Sugar, not to mention for the Maine farmers. By planting the sugar beets—the perfect companion crop to potatoes—farmers could make extra money and revitalize the soil at the same time. Moreover, Maine Sugar was footing the bill for planting the beets. All the farmers had to do was haul the grown-up beets to the huge new refinery that Maine Sugar had just built.

The hitch was that these were Maine farmers, and Maine farmers are very cautious. Instead of planting hundreds of acres of sugar beets, the first year they tried it on a quarter acre, and then when that worked, they expanded to a half acre, and by the time they got to a full acre, the refinery was shut for lack of business and Maine Sugar went bankrupt. The stock fell to six cents, so one share could buy you six gumballs from a Lions Club machine.

After the Maine Sugar fiasco I vowed never to buy another stock that depended on Maine farmers' chasing after a quick buck.

I returned from Korea in 1969, rejoined Fidelity as a permanent employee and research analyst, and the stock market promptly plummeted. (Lynch Law theorists take note.) In June of 1974, I was promoted from assistant director of research to director of research, and the Dow Jones lost 250 points in the next three months. In May of 1977, I took over the Fidelity Magellan fund. The market stood at 899 and promptly began a five-month slide to 801.

Fidelity Magellan had $20 million in assets. There were only 40 stocks in the portfolio, and Ned Johnson, Fidelity's head man, recommended that I reduce the number to 25. I listened politely and then went out and raised the number to 60 stocks, six months later to 100 stocks, and soon after that, to 150 stocks. I didn't do it to be contrary. I did it because when I saw a bargain I couldn't resist buying it, and in those days there were bargains everywhere.

The open-minded Ned Johnson watched me from a distance and cheered me on. Our methods were different, but that didn't stop him from accepting mine—at least as long as I was getting good results.

My portfolio continued to grow, to the point that I once owned 150 S&L stocks alone. Instead of settling for a couple of savings-and-loans, I bought them across the board (after determining, of course, that each was a promising investment in itself). It wasn't enough to invest in one convenience store. Along